

Shri Krishna Kumar Bhargava v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 30 June 2014 · 2014 SCC OnLine All 7692 · Writ - C No. 33401 of 2014 · **Interim order — recovery stayed pending counter affidavit**

HEADNOTE

Interim order. On the contentions that (i) the checking report found the meter merely 'defective' without any finding that the consumer made it defective, so it could not be a case of theft/unauthorised use under Section 126, a defective meter being governed by the distinct defective-meter regime (Clauses 5.6 and 5.8 of the U.P. Electricity Supply Code, 2005) rather than Section 126; (ii) a demand notice was issued on 18.11.2011 while the purported final assessment order was passed only on 04.07.2013, showing the show-cause notice was treated as the final assessment and recovery pursued before assessment, contrary to Ashok Kumar; and (iii) the assessment did not show how the amount of Rs. 90,326 was computed — the Court, finding a prima facie case, stayed recovery under the citation dated 01.03.2014 pending exchange of affidavits.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::5.6

Defective meter is not per se theft; distinct assessment regime — interim stay

QUESTION

(Interim) Can a 'defective meter' finding, without any finding that the consumer made it defective, be treated as theft/UUE under s.126?

HOLDING

Prima facie, no. Where the checking report finds the meter defective without finding that the consumer rendered it defective, it may not be a case of theft/UUE under s.126; a defective meter is governed by the distinct defective-meter rules (Clauses 5.6 and 5.8), and assessment must follow that regime. Coupled with a demand notice predating the 'final assessment' (suggesting the show-cause was treated as final, contra Ashok Kumar) and an unexplained computation, a prima facie case was made out and recovery was stayed. ¶ 1-3, 6

FLAG Interim order only (stay of recovery); the merits await final hearing on affidavits.

PRINCIPLE TAGS

defective-meter-not-per-se-theft-distinct-assessment-regime A defective meter, absent a finding that the consumer rendered it defective, is not per se theft/UUE under s.126 and is governed by the distinct defective-meter rules (Clauses 5.6/5.8), not the s.126 route. ¶ 1-2

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VALIDITY OF THE ASSESSMENT AND WHETHER IT IS THEFT OR A DEFECTIVE-METER CASE

Only an interim stay was granted; the characterisation and the legality of the assessment (and the computation of Rs. 90,326) are left for final hearing. ¶ 6

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar v. State of U.P.</i> 2008 (6) ADJ 660 Allahabad High Court (Division Bench)	A s.126 assessment must follow the prescribed procedure — a proper final assessment order preceded by opportunity, not a show-cause notice treated as final with recovery pursued upon it.	Cited by the petitioner as violated (demand notice predating the final assessment); a prima facie case found and recovery stayed. (Digested in the corpus as SCJ-158.) ¶ 3	Petitioner	Referred

